

TSMC

2Q26 preview: Stronger GMs and aggressive capacity plans to match rising AI demand; Raise PT to NT\$3100

Ahead of TSMC's 2Q26 earnings conference, we are raising our FY26/27/28E EPS estimates by 5%/10%/16% and raising our Jun-27 PT to NT\$3100 (20x 12m forward earnings), to reflect stronger near-term profitability, better visibility on AI demand, stronger capacity build and firmer pricing into 2028. TSMC's stock has lagged the TWSE index by 8% in the last three months due to (1) increased concerns on market share losses in leading edge, (2) concerns on TSMC being too conservative on capacity expansion, and (3) more attractive price increase narratives in higher beta parts of the supply chain such as tier-2 foundries, wafers, MLCC etc. On the upcoming earnings conference call, we expect TSMC to push back strongly against market share loss and show clear intent to expand capacity meaningfully in 2027-29. In addition, near-term GMs are also likely to remain strong, nudging 70% levels. We also expect broader price hikes in 2027, given the widening supply-demand gap, and a stronger Datacenter AI CAGR (we now estimate 69% CAGR from 2024-29E, including higher accelerator estimates and sharply increased AI CPU numbers). The stock is likely to continue to move up, along with EPS upgrades, but do not expect it to significantly outperform the broader Asian semis at this point in the semi cycle.

- **Strong near-term Gross Margins; N3 improvement, high UTR and pricing should offset N2 and overseas dilution:** We expect TSMC's 2Q26 GMs to reach close to 70% levels (JPMe 69.5%), due to better utilization, increased ASPs from expedited wafers and better overall efficiency. We now expect GMs to remain in the high 60% range in 2H26 and 1H27 despite increased dilution from N2 ramp and overseas Fab ramp, since N3 is likely to cross over to corporate average GMs in 2H26, and better pricing in 2027 should keep margins high for newly ramped capacity in Fab 18P9 and AZ. Overall, we expect TSMC to be able to keep GMs around high 60s-to 70% levels for the next few quarters.
- **Raise Datacenter AI CAGR to 69% growth, including sharp CPU ramp and stronger accelerator build:** We update our Datacenter AI revenue forecast to reflect stronger accelerator build and much faster demand growth for AI CPUs, and now expect a CAGR of 69% from 2024-29E (prior 59%, TSMC guidance of mid-to-high-50%). AI accelerators will remain the primary growth driver for TSMC's datacenter AI demand, driven by larger die sizes, adoption of multi-die chiplets and faster growth in ASICs. But CPUs are likely to grow the fastest from 2026 onwards, accounting for ~14% of the datacenter AI revenues by 2029. We believe that TSMC is likely to indicate upside for its own DC AI forecasts, given the upside from CPUs, networking and ASIC demand since Jan-26.
- **Capacity plans becoming more aggressive, raise FY26/27/28 capex to \$58/\$78/\$84 bn:** Our checks indicate that TSMC is turning more aggressive on capacity buildout since the start of 2026, and is continuing to accelerate N2 and N3 buildout plans, with multiple new Fab shells construction kicking off in 1H26 and increased equipment orders from 2Q26 onwards. Hence, we are raising our capex estimates and now expect \$58/\$78/\$84 bn in capex for 2026/27/28 respectively. For 2026, we expect TSMC to raise its capex range

Overweight

2330.TW, 2330 TT

Price (06 Jul 26):NT\$2460.0

▲ **Price Target (Jun-27):NT\$3100.0**

Prior (Dec-26):NT\$2500.0

Technology and Telecoms

Gokul Hariharan ^{AC}

(852) 2800-8564

gokul.hariharan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Jennifer Hsieh

(886-2) 2725-9868

jennifer.hsieh@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

David Chou

(886-2) 2725-9618

david.chou@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Jason Chen

(886-2) 2725-9864

jason.bh.chen@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Subham Singhania

(91-22) 6157-3801

subham.singhania@jpmorgan.com

J.P. Morgan India Private Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	99.31	103.97	4.7%
Adj. EPS - 27E (NT\$)	125.11	138.24	10.5%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	13.94	22.08A	31.09
Q2	15.36	24.72	32.67
Q3	17.44	27.39	36.83
Q4	19.50	29.79	37.66
FY	66.24	103.97	138.24

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	43	47	33	44	78
Growth	29	18	11	23	24
Momentum	32	17	29	68	42
Quality	14	14	10	13	7
Low Vol	29	32	37	44	29
ESGQ	27	84	27	16	3

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 18 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	58.7%	4.0%	35.9%	126.7%
Rel	-2.0%	0.7%	-7.0%	19.2%

Company Data

Shares O/S (mn)	25,930
52-week range (NT\$)	2535.0-1065.0
Market cap (\$ mn)	1,996,767
Exchange rate	31.95
Free float (%)	92.1%
3M ADV (mn)	42.31
3M ADV (\$ mn)	2,994.6
Volatility (90 Day)	36
Index	TAIEX
BBG ANR (Buy Hold Sell)	39 1 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	3,809,054	5,342,260	7,192,208	8,813,415
Adj. EBIT	1,936,092	3,175,201	4,275,861	5,262,336
Adj. EBITDA	2,624,188	3,968,123	5,280,152	6,544,105
Adj. net income	1,717,883	2,696,350	3,584,875	4,411,972
Adj. EPS	66.24	103.97	138.24	170.13
BBG EPS	64.73	99.38	127.22	157.50
Cashflow from operations	2,437,716	3,413,412	4,421,425	5,578,226
FCFF	1,292,759	1,860,700	1,949,175	3,105,976
Margins and Growth				
Revenue Growth Y/Y (%)	31.6%	40.3%	34.6%	22.5%
EBIT margin	50.8%	59.4%	59.5%	59.7%
EBIT Growth Y/Y (%)	46.4%	64.0%	34.7%	23.1%
EBITDA margin	68.9%	74.3%	73.4%	74.3%
EBITDA Growth Y/Y (%)	32.2%	51.2%	33.1%	23.9%
Net margin	45.1%	50.5%	49.8%	50.1%
Adj. EPS growth	46.4%	57.0%	33.0%	23.1%
Ratios				
Adj. tax rate	16.0%	17.7%	17.7%	17.7%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	35.4%	41.4%	40.1%	36.9%
Valuation				
FCFF yield	2.0%	2.9%	3.1%	4.9%
Dividend yield	0.9%	1.2%	1.4%	1.7%
EV/Revenue	16.2	11.3	8.3	6.5
EV/EBITDA	23.5	15.2	11.3	8.8
Adj. P/E	37.1	23.7	17.8	14.5

Summary Investment Thesis and Valuation

Investment Thesis

We expect TSMC's structural growth drivers to remain very strong as leading-edge supply (N4, N3, and N2) stays tight well into 2027 or early 2028, given accelerating AI demand, continued growth in N3, N2 and advanced back-end revenues, and long lead time for capacity build despite accelerated capex. Near-term, we believe GM is also likely to remain strong, nudging 70% levels, given N3 improvement, high UTR and decent pricing, despite N2 and overseas dilution. We expect broader price hikes in 2027, given the widening supply-demand gap and a stronger Datacenter AI CAGR (we now estimate 69% CAGR from 2024-29E, driven by both higher accelerator estimates and a surge in AI CPU numbers).

Valuation

Our Jun-27 PT of NT\$3,100 is based on ~20x 12-month forward P/E and reflects stronger near-term profitability, better visibility on AI demand, stronger capacity build and firmer pricing into 2028. Our target multiple is higher than TSMC's five-year average historical multiple.

Performance Drivers

Market	68%
Region	25%
Macro	1%
Style	0%
Idiosyn.	5%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.88	0.83
Region: Taiwan	0.83	0.89
Macro:		
JPM EM Currency(EMCI) Fixing	-0.24	-0.22
JP Morgan GBI-EM Global Div	-0.17	-0.17
Emerging Central Bank Rate	-0.07	-0.16
Quant Styles:		
Momentum	0.18	0.20
Quality	0.14	0.15
DivYld	-0.18	-0.10

modestly, but the company is unlikely to give a 3-year guidance for capex (JPMe ~\$219bn cumulative capex from 2026-28).

- **N3 capacity addition on track with increased cross-fab in 2026, two new Fabs in 2027:** We now expect TSMC's N3 capacity to reach 167/213/240k wfpw by end 26/27/28, representing a stronger ramp in response to unprecedented leading edge demand. We estimate that the supply-demand gap for N3 is ~600k wafers, and the recent upside in AI CPU demand is unlikely to ebb before late 2027. TSMC appears to have increased its cross-fab collaboration, leveraging N7, N12 and even 28nm Fab capacity to fulfill back-end metal layer wafer processing demand for N3 and N5 process nodes. We now expect Fab18 P9 (25-30k wfpw of new N3 capacity) to ramp in 1Q27, with ~20k wfpw of Arizona P2 coming online in late 2027, along with 20-30k wfpw of additional N3 capacity from Japan P2 in mid 2028.
- **N2 ramp looks very strong, with further upside from Fab 22 P7-9 buildout:** TSMC appears to be ramping up N2 build out very aggressively, and is incentivizing HPC customers to migrate to N2 within a shorter lead-time, given improved yields and better performance. TSMC has up to 9 Fab phases ramping up N2/ A16 in the next 3 years (1-2 phases in Fab 20 in Baoshan, 5 phases in Fab 22 in Kaohsiung, 1 phase in AZ F3, and recently added Fab 22 P7 -out of P7-P9, in Tainan). We believe that N2 will reach 170k wfpw capacity by end 2028, a much faster ramp than any prior process node, with eventual capacity reaching 240-250k wfpw by 2029-30.
- **Faster advanced package ramp to respond to CoWoS and SoIC demand:** Given the recent upside in accelerator demand and the very fast ramp in CPU orders (especially for Vera and Venice, which require CoWoS), we expect TSMC to accelerate its advanced packaging capacity ramp further in 2027, with CoWoS capacity likely to approach 2M wafers per year (up ~80-90% YoY). We believe that TSMC's AP7 Phase 2 is likely now to be a hybrid of CoWoS and SoIC capacity (prior 100% SoIC capacity), with interposer outsourcing to foundries like VSMC securing even more capacity in 2027-28.
- **No mid-year price hike in 2H26, but bigger and broader price increases in 2027:** Contrary to certain press articles, we do not see TSMC raising baseline pricing for leading edge nodes in 2H26, although blended ASP will keep rising for N3 due to increasing HPC mix. For 2027, however, we are expecting ~8-10% price increases for N3 and N2, while other nodes (N5, N7) and CoWoS could also see mild price increases. Even mature nodes are likely to see flattish pricing, since slack capacity has been increasingly taken up by cross-fab collaboration to accommodate leading edge demand. As a result, we expect TSMC's blended ASPs to grow ~26% YoY in 2027, helping to drive another year of 30+% YoY revenue growth.
- **Market share and competitive status remains intact; expect management to be forceful:** As we indicated in our prior note (see [link](#)), we expect increased noise around leading edge competition during a period of severe shortage of wafers from TSMC. However, TSMC's technology leadership (TSMC N2P should be in production well ahead of Intel 14A) should remain quite strong, and the company is building additional moats such as COUPE for CPO, and SoIC for 3D packaging, similar to CoWoS for 2.5D packaging. The acceleration in N2 capacity ramp should also address the supply challenges that customers may be facing in the 2028-29 timeframe, which is the earliest when much of the competition (Intel, Samsung Foundry, TeraFab etc.) would have real capacity. We expect TSMC to retain 95+% of market share for the first two waves of N2 products, similar to N3 and N5 process nodes, and continue to gain overall Foundry share.
- **Key messages to look out for from the conference call:** Key messages from TSMC's management are likely to be (1) Strong message on near-term GM strength, with 2Q GM to reach 69.5% and 3Q GMs guided to 67-68% range; (2) Confident qualitative commentary on demand and capacity buildout, with 2026 revenue guidance moving to mid-late 30% in USD terms, and 3Q26 growing ~10% QoQ; (3) Aggressive pushback on

competitive concerns, both in leading edge and mature process tech; (4) Modest uptick to 2026 capex (we expect \$58bn), while indicating a meaningful jump in 2027-28; and (5) high likelihood for some updates on Datacenter AI TAM, given the stronger demand upside for accelerators and emergence of AI CPUs as a new growth category.

Figure 1: Expected TSMC guidance and JPMe key assumptions

	TSMC (likely) guidance	JPMe
2Q26E revenue growth (USD)	9% - 12%	12%
3Q26E revenue growth (USD)	8% - 10%	9%
2Q26E GM	65.5% - 67.5%	69.5%
3Q26E GM	67% - 68%	67.6%
2026-28 cumulative capex (USD)	NA	~\$219bn
2026E CoWoS capacity growth	NA	93%
2024-2029 DC AI revenue CAGR	mid 60%	69%

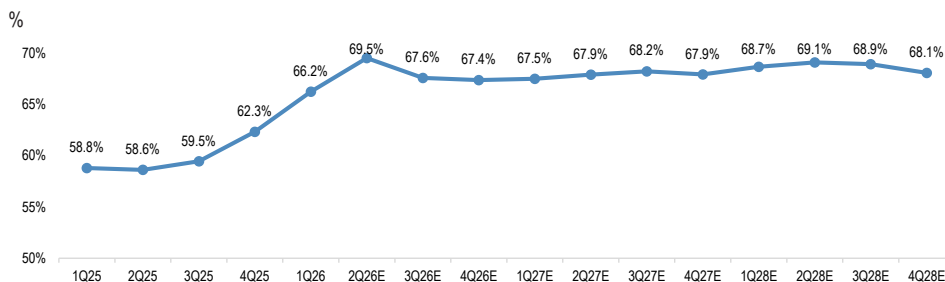
Source: J.P. Morgan estimates, Company data.

Strong near-term Gross Margins: N3 improvement, high UTR and pricing should offset N2 and overseas dilution

We expect TSMC's 2Q26 GMs to approach 70% (JPMe 69.5%, up 3+ppts QoQ), supported by: 1) better utilization (N5 and below continuing to run at 100%+ UTR); 2) higher ASPs from expedited wafers (hot/super-hot runs carrying 50%/100% price premiums); and 3) improved overall efficiency.

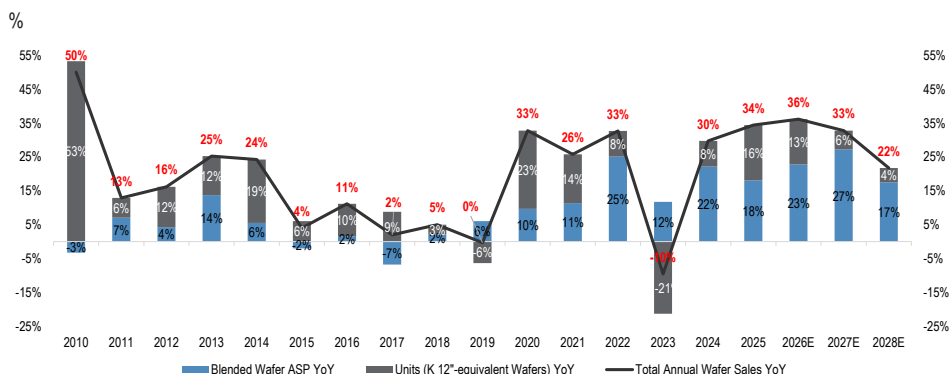
Looking into 2H26, while the company has previously flagged margin dilution from the N2 ramp and overseas fab expansion, we expect GMs to hold in the high-60% range through 2H26 and into 1H27. Key supports include: N3 profitability is likely to surpass the corporate-average GM by 2H26, and better pricing in 2027 (we expect 8–10% hike for N3/N2 pricing and mild increase in N5/N7/CoWoS) should help sustain healthy margins as newly ramped capacity at Fab 18 P9 and AZ comes online. Overall, we expect TSMC to maintain GMs in the high-60s to ~70% range over the next few quarters.

Figure 2: GM trend by quarters



Source: J.P. Morgan estimates, Company data.

Figure 3: Breakdown of TSMC wafer sales by blended ASP and wafer shipments



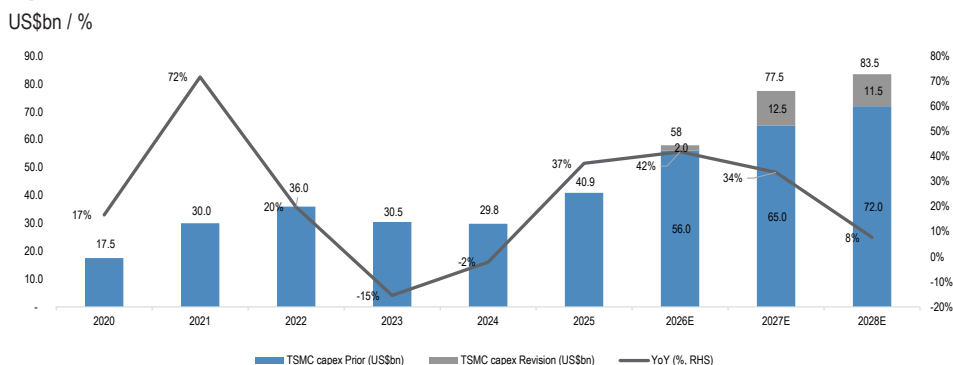
Source: J.P. Morgan estimates, Company data.

Capacity plans becoming more aggressive, raise FY26/27/28 capex to \$58/\$78/\$84bn

Our checks indicate TSMC has turned more aggressive on capacity buildout since early 2026, continuing to accelerate both N2 and N3 expansion plans. Multiple new fab shells began construction in 1H26, with increased equipment orders from 2Q26 onward. As a result, we are raising our capex estimates and now forecast \$58bn/\$78bn/\$84bn for 2026/27/28, respectively.

At the last earnings call, the company modestly revised up 2026 capex guidance from \$52–56bn to the upper end of the same range, while indicating that capex over the following three years would be significantly higher than the prior three-year period. For the upcoming call, we expect TSMC to raise its 2026 capex range modestly, but believe that the company is unlikely to provide a numerical three-year capex target (JPMe~ \$219bn cumulative capex for 2026–28, vs. \$101bn in 2023–25).

Figure 4: TSMC capex trend

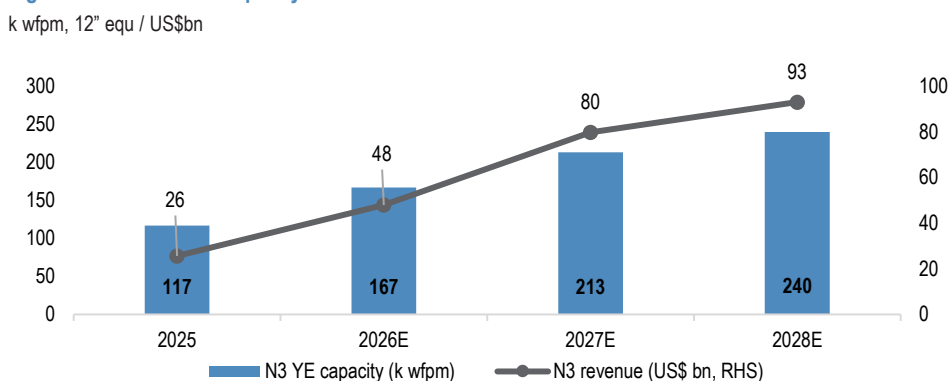


Source: Company data, J.P. Morgan estimates.

N3 capacity addition on track with increased cross-fab in 2026, two new Fabs in 2027

We now expect TSMC's N3 capacity to reach 167k/213k/240k wfpm by end-2026/27/28, representing a stronger ramp in response to unprecedented leading-edge demand. N3 should account for 30–40%+ of the company's wafer sales in 2026–28, on our estimates.

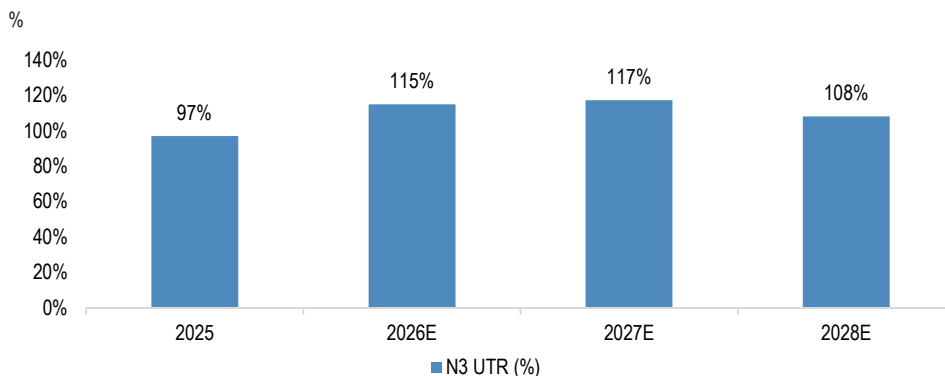
Figure 5: TSMC N3 YE capacity build and revenues



Source: J.P. Morgan estimates, Company data.

We expect N3 UTR to remain above 100% at least through 2028 and estimate the current supply-demand gap for N3 at ~600k wafers, with recent upside in AI CPU demand unlikely to ebb before late 2027.

Figure 6: TSMC N3 UTR



Source: J.P. Morgan estimates, Company data.

TSMC also appears to have increased cross-fab collaboration, leveraging N7, N12, and even 28nm capacity to fulfill back-end metal-layer processing for N3 and N5 nodes. On specific capacity additions, we now expect Fab 18 P9 (25–30k wfpw of new N3) to ramp in 1Q27, with ~20k wfpw from Arizona Phase 2 coming online in late 2027, and an additional 20–30k wfpw of N3 from Japan Phase 2 in mid-2028.

N2 ramp looks very strong, with further upside from Fab 22 P7-9 buildout

We believe TSMC appeared very keen on ramping up N2 capacity build out and encouraging HPC customers to shift to N2. Based on our checks, we see a robust N2 project pipeline ahead with 1) all Apple iPhone models (A20/A20 Pro), 2) AMD Venice and MI450, 3) flagship SoCs from MediaTek, and 4) flagship SoCs from Qualcomm. From late 2027-28, major AI accelerators (such as Google TPU, NVIDIA Feynman, and Trainium 4) are also likely to join the camp. Overall, we believe that TSMC's N2 market share is likely to stay well above 90% into 2028-29.

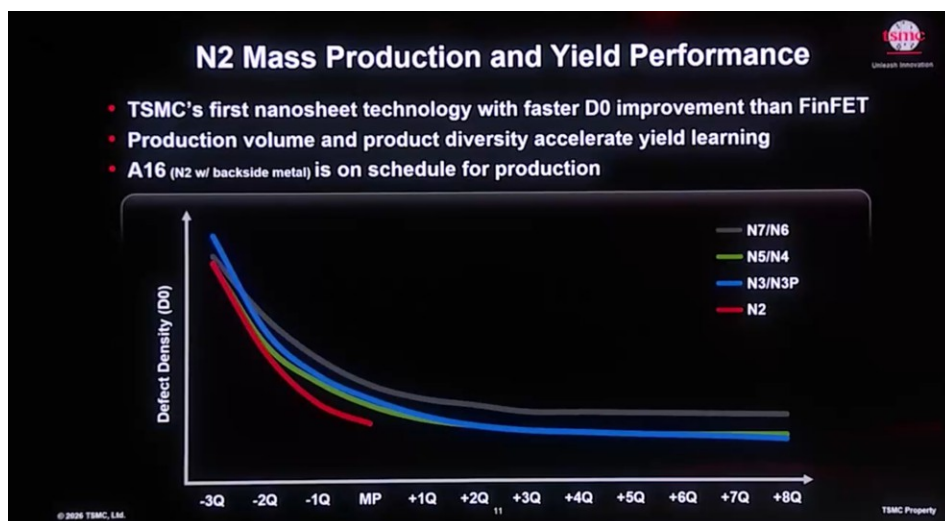
To meet the strong demand ahead, TSMC has planned to ramp up N2/A16 in the next 3 years with up to 9 Fab phases:

- Fab 20: 1-2 phases in Baoshan
- Fab 22: 5 phases in Kaohsiung
- Fab 22: recently added P7, out of P7-P9, in Tainan
- AZ P3: 1 phase

Thus, we now raise our TSMC's 2027 N2 node capacity to 170k in 2028 (vs. 150k wfpw) to reflect further upside from Fab 22 P7-9 buildout, with a much faster ramp than any prior process nodes and eventual capacity reaching 240-250k wfpw by 2029-30.

We believe that the pressure from competition should be relieved if the customers consider supply to be sufficient by 2028, given sticking with TSMC likely to be simpler for their high volume AI chip designs. In addition, we believe the faster adoption cadence is empowered by the improved yields and better performance, with yields already reaching 75-80% iPhone processors and achieving defect density goals two quarters earlier than prior nodes.

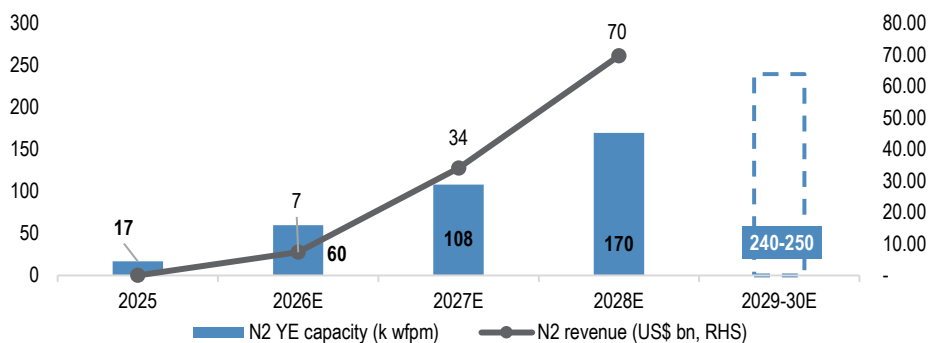
Figure 7: TSMC's yield ramp for leading edge process nodes



Source: TSMC slides from its 2026 Technology Symposium

Figure 8: TSMC N2 YE capacity build and revenues

k wfp, 12" equ / US\$bn

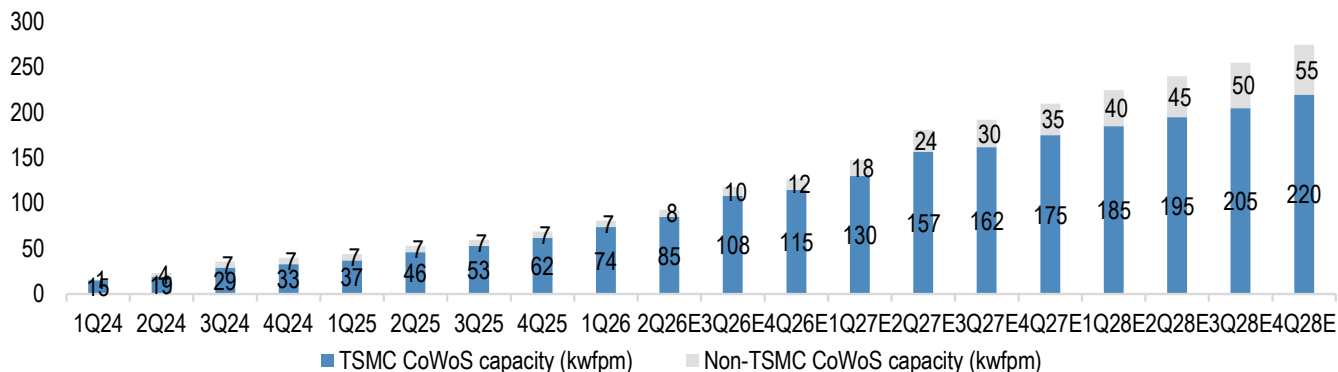


Source: J.P. Morgan estimates, Company data.

Faster advanced package ramp to respond to CoWoS and SolC demand

While TSMC is likely to increase outsourcing to OSATs (like ASE, Amkor) smaller reticle package, we expect TSMC to still accelerate its advanced packaging capacity ramp further in 2027, primarily driven by strong upside from both accelerators (we believe NVDA Feynman and AMD MI500) and CPUs (we believe NVDA Vera and AMD Venice, which require CoWoS). We now expect annual CoWoS capacity to approach 2M wafers in 2027 (increase ~60-70% YoY)

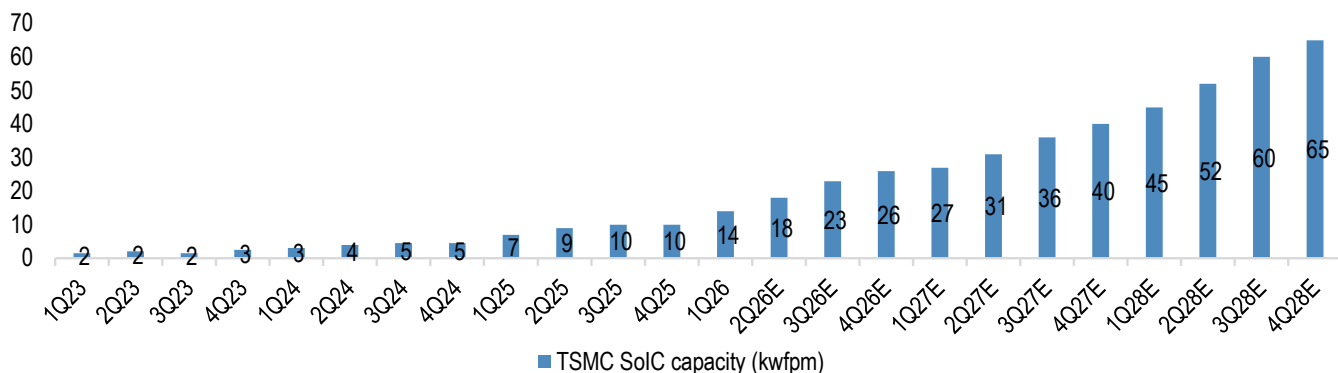
Figure 9: CoWoS capacity – TSMC/non-TSMC



Source: J.P. Morgan estimates, Company data.

Given robust demand for CoWoS, we believe that TSMC's AP7 Phase 2 is likely now to be a hybrid of CoWoS and SoIC capacity (prior 100% SoIC capacity), despite SoIC likely to be more prevalent from 2028 onwards (we expect AMD, NVDA, AWS and Google to all move in this direction). Moreover, as advanced packaging capacity continues to remain extremely tight, TSMC's interposer outsourcing to VSMC is likely to accelerate in 2027-28, making up ~30% of its capacity plan in 2027, in our view.

Figure 10: SoIC capacity – TSMC

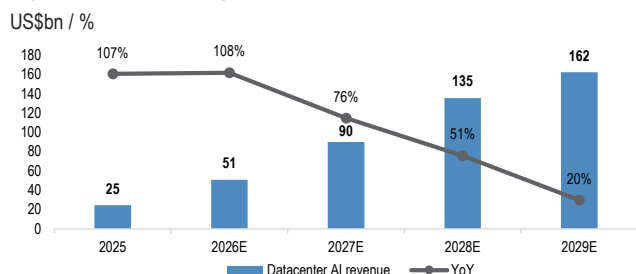


Source: J.P. Morgan estimates, Company data.

Raise Datacenter AI CAGR to 69% growth, including sharp CPU ramp and stronger accelerator build

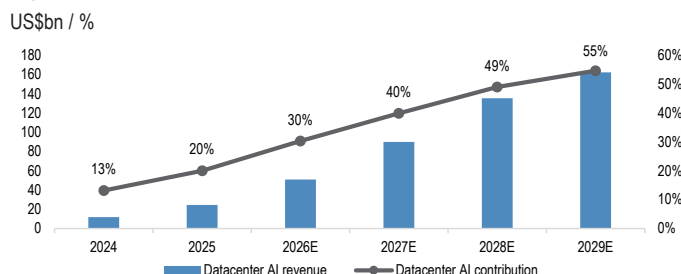
We now expect Datacenter AI CAGR to reach 69% growth in 2024-29E (vs. prior 59% and guidance of mid-to-high-50%) with AI revenue to contribute up to 50+% in 2029 (from ~30% in 2026, driven by both a sharp CPU ramp and stronger accelerator build, on the back of rising agentic AI adoption).

Figure 11: AI revenue growth and YoY



Source: J.P. Morgan estimates, Company data.

Figure 12: DC AI revenue contribution



Source: J.P. Morgan estimates, Company data.

AI accelerators are expected to remain the primary growth driver for TSMC's datacenter AI revenue, supported by larger die sizes, multi-die chiplet adoption, and faster ASIC growth, with GPU and accelerator revenue projected to grow 80–100% YoY in 2026/27. That said, AI server CPUs are likely to be the fastest-growing segment—up more than 300% YoY in 2026 and doubling annually thereafter through 2029. We therefore expect TSMC to capture a significantly larger share of the server CPU foundry market, driven by AMD, NVIDIA, Qualcomm, and ARM-based designs, as well as in-house CSP programs such as Axion, Graviton, and Cobalt.

Given the upside from CPUs, networking and ASIC demand since early 2026, we believe that TSMC is likely to suggest an upside for its own DC AI forecasts in the coming quarters.

Table 1: TSMC Datacenter AI revenue forecast by segment

US\$bn		2023	2024	2025	2026E	2027E	2028E	2029E
TSMC Datacenter AI Revenue								
GPUs and Other Accelerators		3	8	18	36	65	96	111
HBM Logic base die		-	-	-	2	4	7	9
AI server CPU		0	0	1	4	9	16	22
AI Networking revenue to Foundry (including Switch, DPUs, CPO etc)		0	1	3	5	9	12	15
Other processors (FPGA, older and lower end NVDA processors etc)		1	2	3	4	4	4	5
Datacenter AI revenue		4	12	25	51	90	135	162
Datacenter AI contribution		6%	13%	20%	30%	40%	49%	55%

Source: Company data, J.P. Morgan estimates. Note: 2025-29 numbers are J.P. Morgan estimates

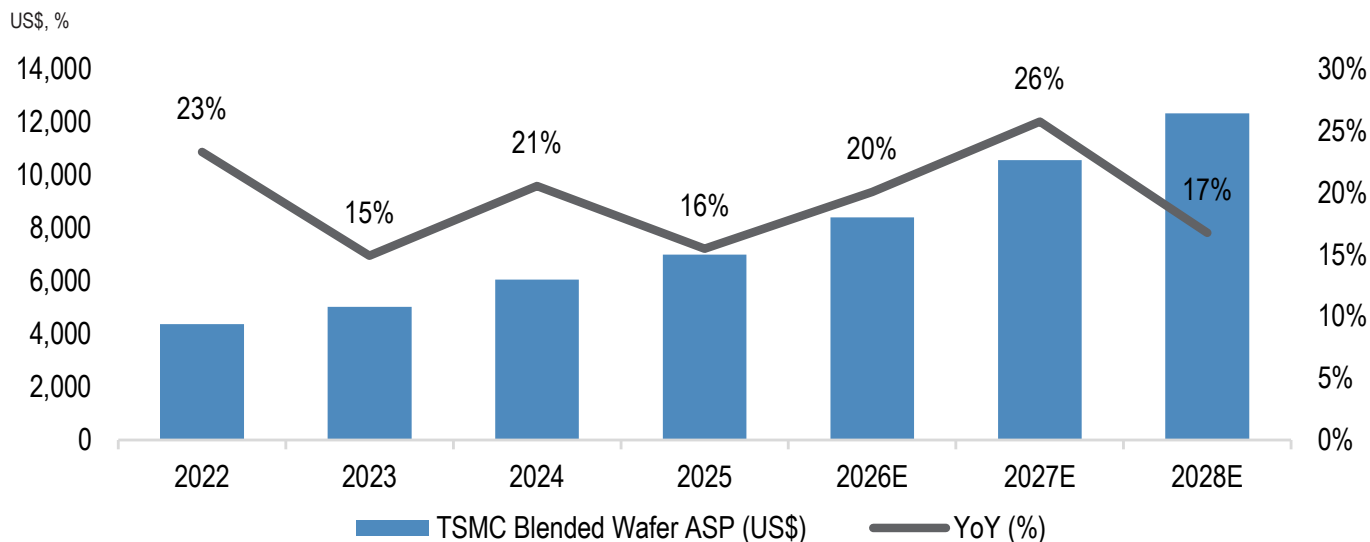
No mid-year price hike in 2H26, but bigger and broader price increases in 2027

TSMC raised prices by 6–10% for advanced nodes (N5 and below) in early 2026 (with negotiations having started in 2H25). However, though 2027 negotiations may already be under way, contrary to certain press reports, we do not expect TSMC to raise baseline pricing for leading-edge nodes in 2H26. ASP improvement in 2H26 should instead be driven primarily by N3 mix enrichment, as HPC customers become the majority at that node.

For 2027, we expect ~8–10% price increases for N3 and N2, while other nodes (N5, N7) and CoWoS could also see mild increases. Even mature nodes are likely to see flattish pricing, as slack capacity has been increasingly absorbed by cross-fab operations to accommodate leading-edge demand.

As a result, we expect TSMC's blended ASPs to grow 26% YoY in 2027, helping drive another year of 30%+ revenue growth. We also believe more customers are likely to agree to multi-year price contracts given continued capacity tightness into 2027.

Figure 13: TSMC Blended Wafer ASP growth



Source: J.P. Morgan estimates, Company data.

Market share and competitive status remains intact; expect management to be confident on competitive position

As we noted previously ([see link](#)), we expect increased noise around leading-edge competition during a period of severe TSMC wafer shortage, amplified by geopolitical considerations (particularly around Intel Foundry). However, we believe TSMC's technology leadership remains robust.

Intel's 18A process is roughly equivalent to TSMC's N3 baseline process (which began ramping in 2023), while the revamped 18AP should benchmark against TSMC's N3X (high-performance N3 variant). For Intel 14A—while we view as comparable to A16 (with back-side power delivery) within TSMC's N2P family, TSMC's N2P should enter production well ahead. Intel's 14A is expected to reach risk production in 2028 with high-volume ramp in 2029, versus TSMC's N2 family ramping in volume starting 2026.

Accelerated N2 capacity additions should also address the supply challenges customers may face in the 2028–29 timeframe—the earliest window when meaningful capacity from competitors (Intel, Samsung Foundry, TeraFab, etc.) could become available. We expect TSMC to retain 95%+ market share for the first two waves of N2 products, consistent with its N3 and N5 experience, and to continue gaining overall foundry share.

Table 2: TSMC vs. Intel Leading Edge Capacity

k wfp/m

Foundry/Node (k wfp/m)	2025	2026E	2027E	2028E
Intel 18A	-	30	55-60	80k for 18A + 14A
TSMC N3+N2	133	227	322	410
TSMC N5+N3+N2	277	350	442	520

Capacity is as of year end
Source: J.P. Morgan estimates, Company data.

Beyond node leadership, TSMC is deepening its competitive moats through COUPE for CPO, SoIC for 3D packaging, and CoWoS for 2.5D packaging. While Intel's EMIB is emerging as a diversification option and alternative for very large package sizes (EMIB can scale to 10–12 reticle sizes vs. current CoWoS-L at 5.5–6x), we see several challenges: 1) yield remains low (~60%+ for large sizes based on our checks, vs. 98%+ for CoWoS-L); and 2) TSMC's own roadmap targets up to 9x/14x reticle size by 2027/28. We therefore expect mainstream 2.5D packaging to remain with CoWoS, despite Intel capturing some EMIB orders. Additionally, we believe orders will flow back to TSMC as the industry migrates to 3D packaging, given Intel's Foveros Direct is still at a very early stage of ramp relative to TSMC's SoIC.

Table 3: CoWoS vs EMIB -comparison

	CoWoS	EMIB
Reticle size limit	5.5-6x currently; aim to reach 14x	10-12x
Cost	\$10-12k	30-40% cheaper per package as compared to CoWoS-L
Yield	98+%	~90% for server CPU size EMIB-T packages (2-4x reticle size and 4-8 EMIB bridges) ~60% for large ASIC EMIB-T packages (9-10x reticle size and 25+ EMIB bridges)
Scale (wfp/m)	127K/210K/275K by YE26/27/28	Intel's external EMIB packaging capacity is likely ~7–10% of CoWoS scale in 2028.

Source: J.P. Morgan estimates, Company data.

Key messages to look out for from the conference call

Key messages from TSMC's management are likely to be:

1. Strong message on near-term GM strength, with 2Q GM to reach 69.5% and 3Q GMs guided to mid-to-high 60% range;
2. Confident qualitative commentary on demand and capacity buildout, with 2026 revenue guidance moving to mid-late 30% in USD terms, and 3Q26 growing ~10% qoq;
3. Aggressive pushback on competitive concerns, both in leading edge and mature process tech;
4. Modest uptick to 2026 capex (we expect \$58bn), while indicating a meaningful jump in 2027-28; and
5. High likelihood for some updates on Datacenter AI TAM, given the stronger demand upside for accelerators and emergence of AI CPUs as a new growth category.

Forecast Changes

Table 4: TSMC: Quarterly estimate revisions

NT\$ billion	Revised			Prior			Change (%)		
	2Q26E	3Q26E	4Q26E	2Q26E	3Q26E	4Q26E	2Q26E	3Q26E	4Q26E
Revenues (US\$ in mn)	40,248	44,010	48,038	39,813	43,999	48,246	1%	0%	-0%
Revenues (NT\$ in bn)	1,272	1,404	1,532	1,262	1,395	1,529	1%	1%	0%
Gross profit	884	949	1,032	845	906	999	5%	5%	3%
GM (%)	69.5%	67.6%	67.4%	67.0%	65.0%	65.3%	256bps	262bps	203bps
Operating profit	779	832	905	728	779	863	7%	7%	5%
OPM (%)	61.2%	59.3%	59.1%	57.7%	55.9%	56.4%	356bps	342bps	263bps
Net profit	641	710	772	598	667	738	7%	7%	5%
EPS (NT\$)	24.72	27.39	29.79	23.07	25.71	28.46	7%	7%	5%
Operating Assumptions									
Capacity ('000 wafers, 12" equ)	4,114	4,113	4,175	4,114	4,113	4,175	0%	0%	0%
Shipment ('000 wafers, 12" equ)	4,258	4,252	4,346	4,097	4,166	4,240	4%	2%	3%
Shipment utilization (%)	103%	103%	104%	100%	101%	102%	392bps	209bps	254bps
Wafer ASP (US\$)	8,089	8,795	9,303	8,222	8,767	9,349	-2%	0%	-1%

Source: J.P. Morgan estimates.

Table 5: TSMC: Annual estimate revisions

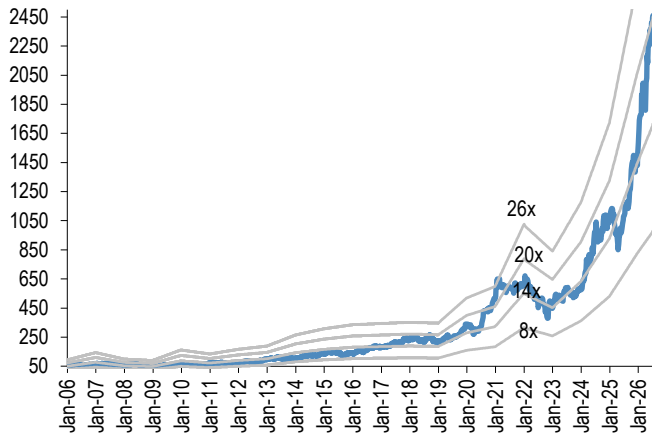
NT\$ billion	Revised			Prior			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues (US\$ in mn)	168,200	225,461	276,282	167,960	221,550	258,379	0%	2%	7%
Revenues (NT\$ in bn)	5,342	7,192	8,813	5,320	7,023	8,191	0%	2%	8%
Gross profit	3,617	4,884	6,053	3,502	4,526	5,330	3%	8%	14%
GM (%)	67.7%	67.9%	68.7%	65.8%	64.4%	65.1%	188bps	347bps	361bps
Operating profit	3,175	4,276	5,262	3,029	3,859	4,554	5%	11%	16%
OPM (%)	59.4%	59.5%	59.7%	56.9%	54.9%	55.6%	250bps	451bps	410bps
Net profit	2,696	3,585	4,412	2,575	3,244	3,818	5%	10%	16%
EPS (NT\$)	103.98	138.24	170.13	99.31	125.11	147.21	5%	10%	16%
Operating Assumptions									
Capacity ('000 wafers, 12" equ)	16,446	17,414	18,311	16,446	17,414	17,721	0%	0%	3%
Shipment ('000 wafers, 12" equ)	17,030	17,971	18,737	16,676	17,491	17,436	2%	3%	7%
Shipment utilization (%)	104%	103%	102%	101%	100%	98%	215bps	276bps	393bps
Wafer ASP (US\$)	8,412	10,581	12,356	8,445	10,448	11,929	0%	1%	4%

Source: J.P. Morgan estimates.

PE/PB charts

Figure 14: TSMC : 12month forward P/E

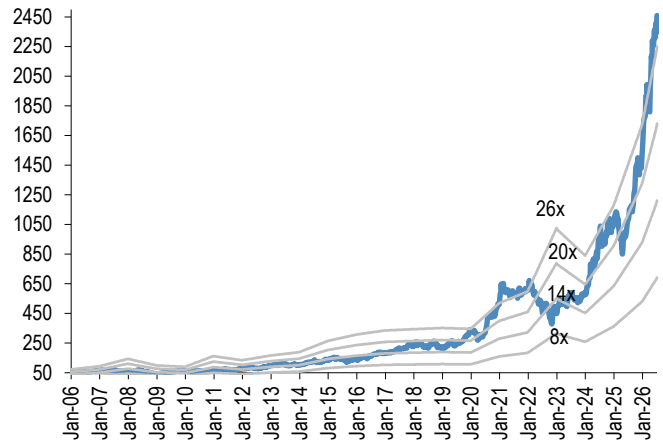
NT\$, x



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 15: TSMC : 12month trailing P/E

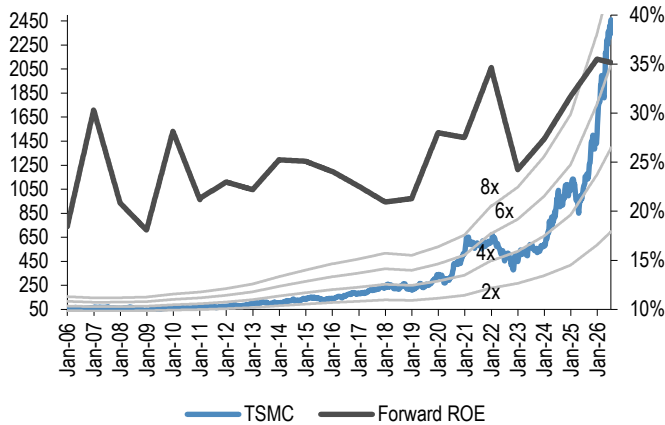
NT\$, x



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 16: TSMC : 12month forward P/B and ROE

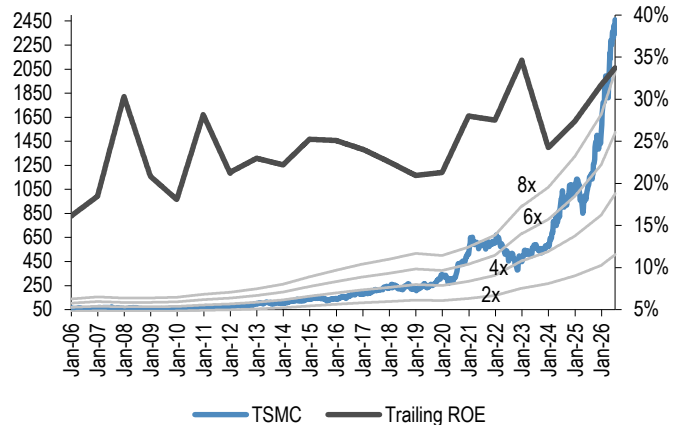
NT\$, x, %



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 17: TSMC : 12month trailing P/B and ROE

NT\$, x, %



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 18: TSMC: Earnings model

	FY25				FY26E				FY27E				FY28E				FY25	FY26	FY27E	FY28E
NT\$ in billions, year-end December	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Sales (NT\$ in billions)	839.3	933.8	989.9	1,046.1	1,134.1	1,271.8	1,403.9	1,532.4	1,608.2	1,746.2	1,888.9	1,948.9	2,058.9	2,179.7	2,276.8	2,298.0	3,809.1	5,342.3	7,192.2	8,813.4
Sales (US\$ in millions)	25,525	30,074	33,097	33,731	35,898	40,248	44,010	48,038	50,413	54,741	59,212	61,095	64,542	68,330	71,373	72,038	122,456	168,200	225,461	276,282
COGS	-345.9	-386.4	-401.4	-394.1	-382.8	-387.6	-454.9	-500.1	-522.5	-560.3	-600.0	-625.1	-645.1	-673.7	-707.6	-733.7	-1,527.8	-1,725.5	-2,308.0	-2,760.1
Depreciation	-175.1	-188.1	-162.8	-162.1	-165.5	-178.6	-221.9	-227.0	-220.8	-243.4	-262.6	-277.5	-291.6	-312.7	-330.5	-346.9	-688.1	-792.9	-1,004.3	-1,281.8
Gross profit	493.4	547.4	588.5	652.0	751.3	884.2	949.0	1,032.3	1,085.6	1,185.9	1,288.9	1,323.8	1,413.8	1,506.1	1,569.2	1,564.3	2,281.3	3,616.8	4,884.2	6,053.4
Operating expense	-86.3	-83.9	-87.9	-87.1	-92.3	-105.6	-116.5	-127.2	-133.5	-146.7	-158.7	-169.6	-185.3	-194.0	-204.9	-206.8	-345.2	-441.6	-608.4	-791.0
SG&A	-29.8	-22.7	-24.1	-22.2	-24.6	-29.3	-32.3	-35.2	-37.0	-41.9	-45.3	-46.8	-51.5	-52.3	-56.9	-57.4	-98.8	-121.4	-171.0	-218.2
R&D	-56.5	-61.3	-63.7	-64.9	-67.8	-76.3	-84.2	-91.9	-96.5	-104.8	-113.3	-122.8	-133.8	-141.7	-148.0	-149.4	-246.4	-320.2	-437.4	-572.9
Operating (EBIT)	407.1	463.4	500.7	564.9	659.0	778.7	832.4	905.1	952.1	1,039.2	1,130.2	1,154.2	1,228.5	1,312.1	1,364.3	1,357.5	1,936.1	3,175.2	4,275.9	5,262.3
Net interest income (expense)	22.2	21.5	23.2	26.5	26.1	21.9	22.8	24.9	18.5	19.0	19.7	21.6	21.8	23.4	25.4	28.1	93.4	95.8	78.8	98.8
Net other income (expense)	1.6	8.1	1.5	1.0	2.7	1.0	1.0	1.1	1.1	1.1	1.1	1.1	1.1	1.1	1.1	1.1	12.2	5.8	4.3	4.4
Pre-tax profit	430.9	493.0	525.4	592.4	687.8	801.6	856.3	931.1	971.7	1,059.3	1,151.0	1,176.9	1,251.4	1,336.6	1,390.8	1,386.7	2,041.7	3,276.8	4,359.0	5,365.5
Tax credit (expense)	-70.2	-95.5	-73.6	-86.9	-115.0	-160.3	-145.6	-158.3	-165.2	-211.9	-195.7	-200.1	-212.7	-267.3	-236.4	-235.7	-326.3	-579.2	-772.8	-952.2
Net profit	361.6	398.3	452.3	505.7	572.5	641.0	710.4	772.5	806.2	847.1	955.0	976.5	1,038.3	1,069.0	1,154.0	1,150.7	1,717.9	2,696.3	3,584.9	4,412.0
Adjusted O/S (B)	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9	25.9
FD EPS (NT\$)	13.94	15.36	17.44	19.50	22.08	24.72	27.39	29.79	31.09	32.67	36.83	37.66	40.04	41.22	44.50	44.37	66.24	103.98	138.24	170.13
Key assumption																				
Capacity ('000 wafers, 12" equ)	3,819	3,874	3,894	3,974	4,044	4,114	4,113	4,175	4,222	4,307	4,407	4,477	4,514	4,549	4,609	4,639	15,561	16,446	17,414	18,311
Shipment ('000 wafers, 12" equ)	3,259	3,718	4,085	3,961	4,174	4,258	4,252	4,346	4,314	4,447	4,594	4,616	4,598	4,697	4,744	4,698	15,023	17,030	17,971	18,737
Shipment utilization (%)	85	96	105	100	103	103	103	104	102	103	104	103	102	103	103	101	97	104	103	102
Wafer ASP (US\$)	6,663	6,891	7,046	7,344	7,422	8,089	8,795	9,303	9,923	10,427	10,886	11,042	11,878	12,225	12,583	12,725	7,003	8,412	10,581	12,356
Margins (%)																				
Gross	58.8	58.6	59.5	62.3	66.2	69.5	67.6	67.4	67.5	67.9	68.2	67.9	68.7	69.1	68.9	68.1	59.9	67.7	67.9	68.7
Operating	48.5	49.6	50.6	54.0	58.1	61.2	59.3	59.1	59.2	59.5	59.8	59.2	59.7	60.2	59.9	59.1	50.8	59.4	59.5	59.7
EBITDA	69.4	69.8	67.0	69.5	72.7	75.3	75.1	73.9	72.9	73.5	73.7	73.5	73.8	74.5	74.4	74.2	68.9	74.3	73.4	74.3
Net	43.1	42.7	45.7	48.3	50.5	50.4	50.6	50.4	50.1	48.5	50.6	50.1	50.4	49.0	50.7	50.1	45.1	50.5	49.8	50.1
Growth (% Q/Q)																				
Shipment	-5	14	10	-3	5	2	0	2	-1	3	3	0	0	2	1	-1				
ASP	-2	3	2	4	1	9	9	6	7	5	4	1	8	3	3	1				
Sales (in NT\$ terms)	-3	11	6	6	8	12	10	9	5	9	8	3	6	6	4	1				
Sales (in US\$ terms)	-5	18	10	2	6	12	9	9	5	9	8	3	6	6	4	1				
Gross profit	-4	11	8	11	15	18	7	9	5	9	9	3	7	7	4	0				
EBIT	-4	14	8	13	17	18	7	9	5	9	9	2	6	7	4	0				
Net profit	-4	10	14	12	13	12	11	9	4	5	13	2	6	3	8	0				
EPS	-4	10	14	12	13	12	11	9	4	5	13	2	6	3	8	0				
Growth (% Y/Y)																				
Shipment	8	19	22	16	28	15	4	10	3	4	8	6	7	6	3	2	16	13	6	4
ASP	22	17	18	8	11	17	25	27	34	29	24	19	20	17	16	15	16	20	26	17
Sales (in NT\$ terms)	42	39	30	20	35	36	42	46	42	37	35	27	28	25	21	18	32	40	35	23
Sales (in US\$ terms)	35	44	41	26	41	34	33	42	40	36	35	27	28	25	21	18	36	37	34	23
Gross profit	57	53	34	27	52	62	61	58	44	34	36	28	30	27	22	18	40	59	35	24
EBIT	63	62	39	33	62	68	66	60	44	33	36	28	29	26	21	18	46	64	35	23
Net profit	60	61	39	35	58	61	57	53	41	32	34	26	29	26	21	18	46	57	33	23
EPS	60	61	39	35	58	61	57	53	41	32	34	26	29	26	21	18	46	57	33	23

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

TSMC (*Overweight; Price Target: NT\$3100.0*)

Investment Thesis

We expect TSMC's structural growth drivers to remain very strong as leading-edge supply (N4, N3, and N2) stays tight well into 2027 or early 2028, given accelerating AI demand, continued growth in N3, N2 and advanced back-end revenues, and long lead time for capacity build despite accelerated capex. Near-term, we believe GMs are also likely to remain strong, nudging 70% levels, given N3 improvement, high UTR and decent pricing, despite N2 and overseas dilution. We expect broader price hikes in 2027, given the widening supply-demand gap and a stronger Datacenter AI CAGR (we now estimate 69% CAGR from 2024-29E, driven by both higher accelerator estimates and a surge in AI CPU numbers).

Valuation

Our Jun-27 PT of NT\$3,100 is based on ~20x 12-month forward P/E and reflects stronger near-term profitability, better visibility on AI demand, stronger capacity build and firmer pricing into 2028. Our target multiple is higher than TSMC's five-year average historical multiple.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: (1) the debate on the duration of the AI capex growth cycle and (2) any negative impact from weak PC/Smartphone demand in 2H26.

TSMC: Summary of Financials

Income Statement - Annual					Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E		1Q26A	2Q26E	3Q26E	4Q26E
Revenue	2,894,308	3,809,054	5,342,260	7,192,208	Revenue	1,134,103	1,271,833	1,403,908	1,532,416
COGS	(1,269,954)	(1,527,760)	(1,725,452)	(2,307,962)	COGS	(382,808)	(387,611)	(454,944)	(500,089)
Gross profit	1,624,354	2,281,294	3,616,807	4,884,246	Gross profit	751,295	884,222	948,964	1,032,326
SG&A	(98,119)	(98,775)	(121,360)	(171,005)	SG&A	(24,573)	(29,252)	(32,290)	(35,246)
Adj. EBITDA	1,984,850	2,624,188	3,968,123	5,280,152	Adj. EBITDA	824,417	957,295	1,054,322	1,132,089
D&A	(662,797)	(688,096)	(792,922)	(1,004,290)	D&A	(165,450)	(178,636)	(221,883)	(226,953)
Adj. EBIT	1,322,053	1,936,092	3,175,201	4,275,861	Adj. EBIT	658,966	778,659	832,439	905,136
Net Interest	76,718	93,369	95,785	78,819	Net Interest	26,145	21,941	22,799	24,900
Adj. PBT	1,405,839	2,041,663	3,276,816	4,358,963	Adj. PBT	687,800	801,641	856,286	931,090
Tax	(233,407)	(326,266)	(579,180)	(772,802)	Tax	(114,998)	(160,328)	(145,569)	(158,285)
Minority Interest	836	2,486	(1,286)	(1,286)	Minority Interest	(322)	(322)	(322)	(322)
Adj. Net Income	1,173,268	1,717,883	2,696,350	3,584,875	Adj. Net Income	572,480	640,992	710,396	772,483
Reported EPS	45.24	66.24	103.97	138.24	Reported EPS	22.08	24.72	27.39	29.79
Adj. EPS	45.24	66.24	103.97	138.24	Adj. EPS	22.08	24.72	27.39	29.79
DPS	16.50	22.00	29.00	34.50					
Payout ratio	51.0%	48.6%	43.8%	33.2%					
Shares outstanding	25,933	25,933	25,933	25,933	Shares outstanding	25,932	25,932	25,932	25,932
Balance Sheet & Cash Flow Statement					Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	2,422,020	3,068,595	4,392,302	5,423,224	Gross margin	56.1%	59.9%	67.7%	67.9%
Accounts receivable	272,088	282,059	419,840	533,954	EBITDA margin	68.6%	68.9%	74.3%	73.4%
Inventories	287,869	288,109	419,840	533,954	EBIT margin	45.7%	50.8%	59.4%	59.5%
Other current assets	106,376	178,367	136,215	173,239	Net profit margin	40.5%	45.1%	50.5%	49.8%
Current assets	3,088,352	3,817,131	5,368,196	6,664,371					
PP&E	3,234,980	3,691,841	4,451,630	5,919,590	ROE	30.3%	35.4%	41.4%	40.1%
LT investments	149,040	172,370	169,709	173,992	ROA	19.2%	23.5%	29.6%	30.8%
Other non current assets	219,565	251,682	274,192	274,192	ROCE	22.7%	27.7%	34.6%	35.2%
Total assets	6,691,938	7,933,024	10,263,728	13,032,145	SG&A/Sales	3.4%	2.6%	2.3%	2.4%
					Net debt/equity	NM	NM	NM	NM
Short term borrowings	59,858	136,926	156,242	156,242					
Payables	74,227	84,330	109,158	123,877	P/E (x)	54.4	37.1	23.7	17.8
Other short term liabilities	1,130,441	1,236,763	1,362,147	1,443,654	P/BV (x)	14.9	11.8	8.4	6.2
Current liabilities	1,264,525	1,458,019	1,627,548	1,723,773	EV/EBITDA (x)	31.4	23.5	15.2	11.3
Long-term debt	958,429	896,062	901,018	901,018	Dividend Yield	0.7%	0.9%	1.2%	1.4%
Other long term liabilities	145,408	118,147	97,132	79,114					
Total liabilities	2,368,362	2,472,229	2,625,697	2,703,906	Sales/Assets (x)	47.4%	52.1%	58.7%	61.7%
Shareholders' equity	4,288,545	5,419,596	7,596,602	10,286,810	Interest cover (x)	NM	NM	NM	NM
Minority interests	35,031	41,199	41,429	41,429	Operating leverage	128.3%	147.0%	159.0%	100.1%
Total liabilities & equity	6,691,938	7,933,024	10,263,728	13,032,145					
BVPS	165.4	209.0	292.9	396.7	Revenue y/y Growth	33.9%	31.6%	40.3%	34.6%
y/y Growth	24.0%	26.4%	40.2%	35.4%	EBITDA y/y Growth	36.5%	32.2%	51.2%	33.1%
Net debt/(cash)	(1,403,733)	(2,035,607)	(3,335,042)	(4,365,964)	Tax rate	16.6%	16.0%	17.7%	17.7%
					Adj. Net Income y/y Growth	39.9%	46.4%	57.0%	33.0%
Cash flow from operating activities	1,975,661	2,437,716	3,413,412	4,421,425	EPS y/y Growth	39.9%	46.4%	57.0%	33.0%
o/w Depreciation & amortization	662,797	688,096	792,922	1,004,290	DPS y/y Growth	26.9%	33.3%	31.8%	19.0%
o/w Changes in working capital	(90,016)	(108)	(244,683)	(213,510)					
Cash flow from investing activities	(928,044)	(1,200,404)	(1,572,560)	(2,476,533)					
o/w Capital expenditure	(958,198)	(1,272,219)	(1,842,153)	(2,472,250)					
as % of sales	33.1%	33.4%	34.5%	34.4%					
Cash flow from financing activities	(313,242)	(590,737)	(517,144)	(913,970)					
o/w Dividends paid	(428,731)	(573,004)	(750,753)	(893,381)					
o/w Net debt issued/(repaid)	90,711	14,701	24,272	0					
Net change in cash	734,375	646,575	1,323,707	1,030,922					
Adj. Free cash flow to firm	1,142,360	1,292,759	1,860,700	1,949,175					
y/y Growth	164.7%	13.2%	43.9%	4.8%					

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to TSMC or related entities.
- **Analyst Position:** An analyst on the Equity or Credit coverage team, non-fundamental analyst who may produce trade recommendations, or a member of their respective household(s) has a financial interest in the debt or equity securities of TSMC or related entities.
- **Beneficial Ownership (1% or more):** J.P. Morgan beneficially owns 1% or more of a class of common equity securities of TSMC or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: TSMC or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: TSMC or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: TSMC or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from TSMC or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from TSMC or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of TSMC or related entities, if any.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan-covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

TSMC (2330.TW, 2330 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 28, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
20-Oct-23	OW	546.0	700
04-Jan-24	OW	578.0	750
19-Jan-24	OW	588.0	770
06-Mar-24	OW	730.0	850
07-Apr-24	OW	780.0	900
17-Jun-24	OW	922.0	1,080
19-Jul-24	OW	1005.0	1,200
18-Oct-24	OW	1035.0	1,500
13-Apr-25	OW	889.0	1,300
18-Apr-25	OW	847.0	1,275
24-Sep-25	OW	1340.0	1,550
17-Oct-25	OW	1485.0	1,700
07-Jan-26	OW	1705.0	2,100
16-Jan-26	OW	1690.0	2,250
02-Apr-26	OW	1855.0	2,400
17-Apr-26	OW	2085.0	2,500

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Hariharan, Gokul : ASE Technology Holding Co Ltd (3711.TW), ASMPT Ltd (0522) (0522.HK), AirTAC (1590.TW), Alchip Technologies (3661.TW), BizLink (3665.TW), Chipbond Technology (6147.TWO), GDS Holdings (GDS), GUC (3443.TW), Hiwin (2049.TW), Hon Hai Precision (2317.TW), MediaTek Inc. (2454.TW), Nien Made (8464.TW), Novatek Microelectronics Corp. (3034.TW), Powerchip Semiconductor Manufacturing Corp. (6770.TWO), SMIC (0981) (0981.HK), Silicon Motion (SIMO), Sinbon (3023.TW), TSMC (2330.TW), Teco Electric & Machinery (1504.TW), UMC (2303.TW), Vanguard International Semiconductor Corp. (5347.TWO), Voltronic Power Technology (6409.TW), Xiaomi (1810) (1810.HK)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P.

Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts

authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number - INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website:

<http://www.jpmpil.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpmpil.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmpil.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of

high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All

Rights Reserved.

"Other Disclosures" last revised July 04, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.

Completed 07 Jul 2026 02:26 AM HKT

Disseminated 07 Jul 2026 02:26 AM HKT